Dolph Research

EQUITY RESEARCH NOTE March 5, 2026

JNJ

This report summarizes the latest annual fundamentals for JNJ and highlights where risk and durability are concentrated.

Revenue

$94.2B

6.0%

Net Income

$26.8B

90.6%

Free Cash Flow

$19.7B

Latest annual snapshot

Debt-to-Equity

0.59x

Latest annual snapshot

At a glance

- Revenue is $94.2B with 6.0% change versus the prior period.
- Net income is $26.8B, indicating current earnings scale.
- Balance sheet reads at 0.59x debt-to-equity and 1.03x current ratio.

Executive Summary

Johnson & Johnson reported revenue of $94.2 billion, reflecting a 6.0% year over year increase, with net income reaching $26.8 billion, a 90.6% rise from the previous year. The company's gross margin stands at 67.9%, and its net margin is 28.5%, indicating strong profitability. Key financial ratios include a return on equity of 32.9% and a debt to equity ratio of 0.59x, suggesting efficient use of capital and moderate leverage.

Current balance-sheet and cash profile: leverage at 0.59x, current ratio 1.03x, free cash flow $19.7B.

Profitability

- Net margin is 28.5%; this captures current bottom-line efficiency.
- Return on equity is 32.9%; this indicates shareholder-capital productivity.

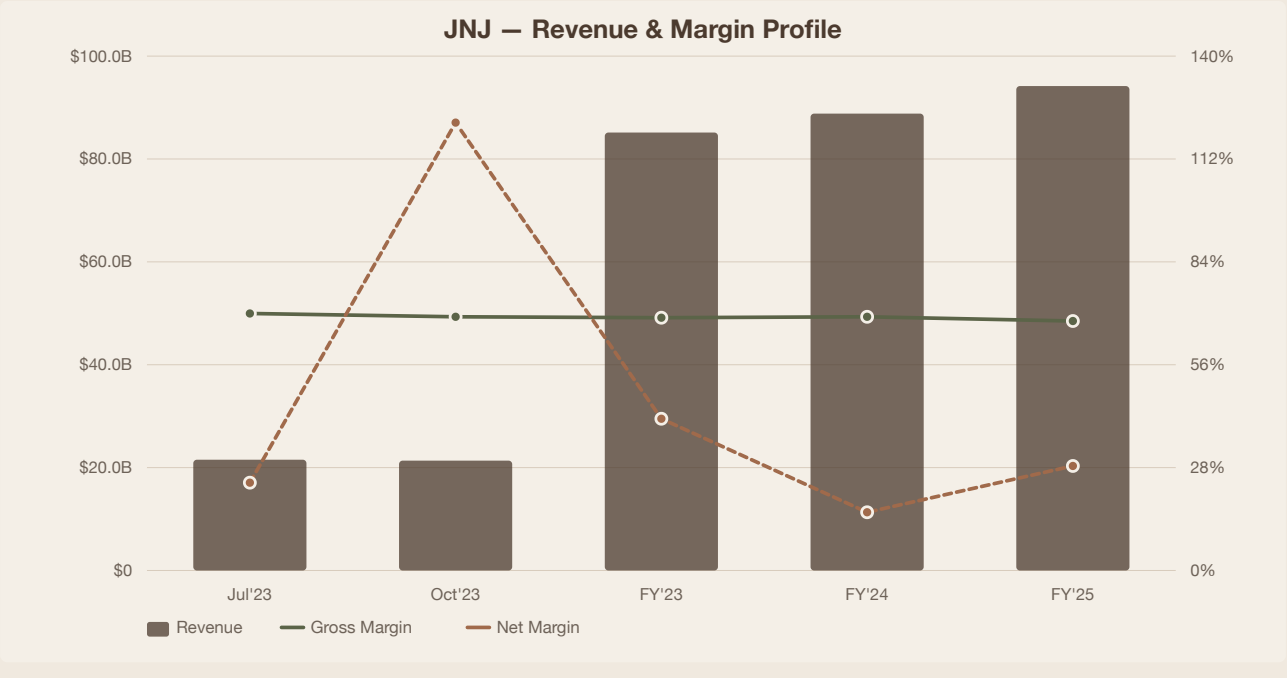
Balance Sheet & Liquidity

- Debt-to-equity is 0.59x; this frames leverage sensitivity and refinancing exposure.
- Current ratio is 1.03x; this measures near-term liquidity headroom.

Cash Flow & Risk

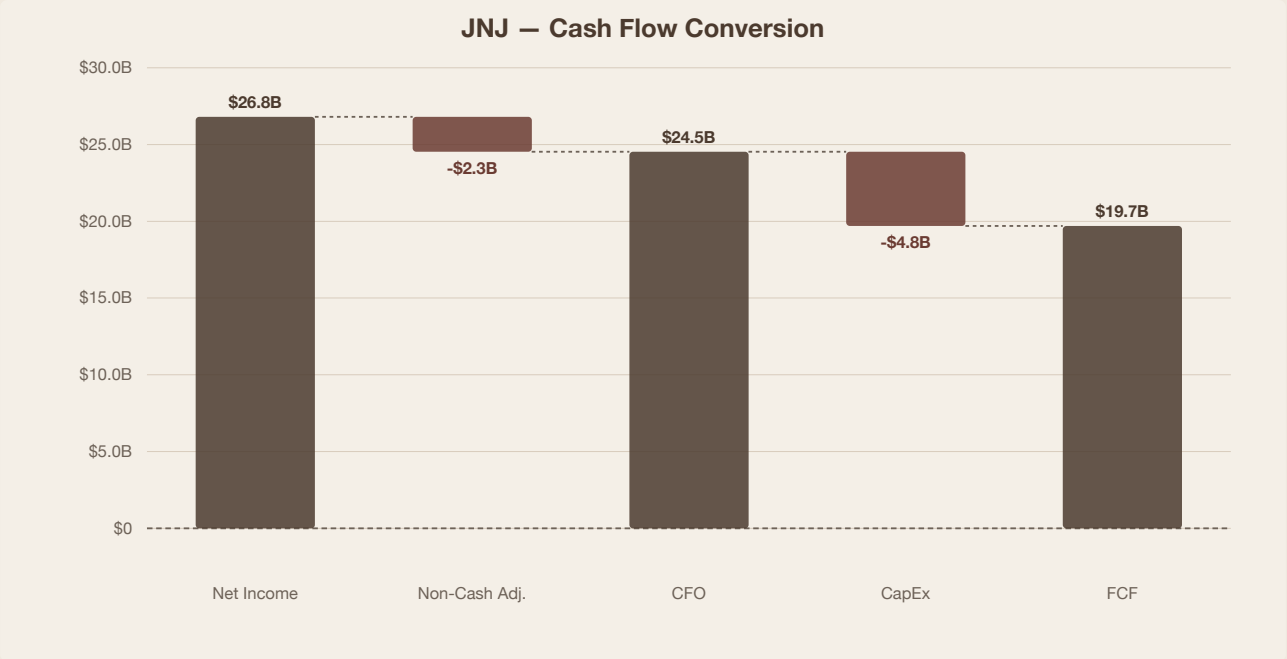
- Free cash flow is $19.7B; this tests earnings quality and funding flexibility.
- Operating cash flow is $24.5B (1.1% vs prior); this shows internal cash generation capacity.

Visual Highlights I



Revenue Growth & Margin Profile

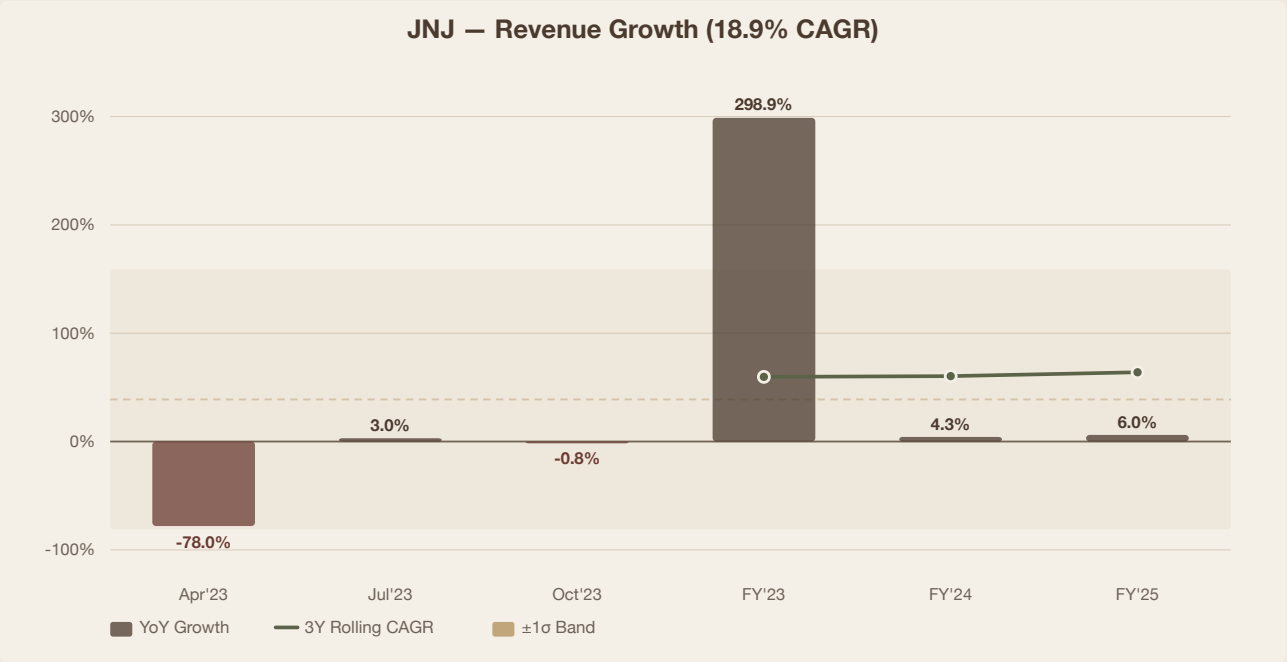
Revenue trend and margin structure across the most recent annual periods.



Cash Flow Conversion

Bridge from earnings to free cash flow to assess conversion quality.

Visual Highlights II



Revenue Growth

Year-over-year growth path and stability over the latest annual periods.

Key Metrics Dashboard

Johnson & Johnson reported revenue of $94.2 billion, reflecting a 6.0% year over year increase, with net income reaching $26.8 billion, a 90.6% rise from the previous year. The company's gross margin stands at 67.9%, and its net margin is 28.5%, indicating…

Profitability

Metric	Current Value	Note
Net Margin	28.5%	Latest annual snapshot
Gross Margin	67.9%	Latest annual snapshot
Return on Equity	32.9%	Latest annual snapshot
Return on Assets	13.5%	Latest annual snapshot

Liquidity & Leverage

Metric	Current Value	Note
Current Ratio	1.03x	Latest annual snapshot
Quick Ratio	0.77x	Latest annual snapshot
Debt-to-Equity	0.59x	Latest annual snapshot

Key Metrics Dashboard (Cont.)

Scale

Metric	Current Value	Prior Period	Change (%)
Revenue	$94.2B	$88.8B	6.0%
Net Income	$26.8B	$14.1B	90.6%
Total Assets	$199B	$180B	10.6%
Stockholders' Equity	$81.5B	$71.5B	14.1%
Total Liabilities	$118B	$109B	8.3%

Cash Flow & Per Share

Metric	Current Value	Prior Period	Change (%)
Operating Cash Flow	$24.5B	$24.3B	1.1%
Free Cash Flow	$19.7B	N/A	N/A
Capital Expenditures	$4.83B	$4.42B	9.2%
Earnings Per Share (Diluted)	$11.03	N/A	N/A
Book Value Per Share	$33.57	N/A	N/A

Commentary

What stands out

- Revenue is $94.2B, up 6.0% versus the prior annual period.
- Net income is $26.8B, confirming meaningful earnings scale.
- Free cash flow of $19.7B supports earnings quality and internal funding capacity.

Watch items

- Monitor leverage and liquidity together: debt-to-equity is 0.59x and current ratio is 1.03x.
- Validate next-period durability before extrapolating the latest one-year growth and margin profile.

Analyst interpretation

- JNJ currently combines scale and profitability, but durability should be judged by multi-period margin and cash-flow consistency.
- Balance-sheet posture is best read jointly: 0.59x debt-to-equity with 1.03x current ratio.
- Cash generation remains a central validation point, with free cash flow at $19.7B.

Appendix

Appendix A — JNJ Income Statement

Metric	FY2025	FY2024	FY2023
Revenue	$94.2B	$88.8B	$85.2B
Cost of Revenue	$30.3B	$27.5B	$26.6B
Gross Profit	$63.9B	$61.4B	$58.6B
Net Income	$26.8B	$14.1B	$35.2B
EPS (Basic)	$11.13	$5.84	$13.88
EPS (Diluted)	$11.03	$5.79	$13.72
R&D Expenses	$0.11B	$1.84B	$0.48B
SG&A Expenses	$23.7B	$22.9B	$21.5B

Appendix B — JNJ Balance Sheet

Metric	FY2025	FY2024	FY2023
Shares Outstanding	2.43B	2.43B	2.56B
Total Assets	$199B	$180B	$168B
Total Liabilities	$118B	$109B	$98.8B
Stockholders' Equity	$81.5B	$71.5B	$68.8B
Current Assets	$55.6B	$55.9B	$53.5B
Current Liabilities	$54.1B	$50.3B	$46.3B
Cash & Equivalents	$19.7B	$24.1B	$21.9B
Long-Term Debt	$39.4B	$30.7B	$25.9B
Short-Term Debt	$8.49B	$5.98B	$3.45B
Inventory	$14.2B	$12.4B	$11.2B
Accounts Receivable	$17.2B	$14.8B	$14.9B
Goodwill	$48.8B	$44.2B	$36.6B

Appendix (Cont.)

Appendix C — JNJ Cash Flow Statement

Metric	FY2025	FY2024	FY2023
Operating Cash Flow	$24.5B	$24.3B	$22.8B
Capital Expenditures	$4.83B	$4.42B	$4.54B
Investing Cash Flow	-$23.6B	-$18.6B	$0.88B
Financing Cash Flow	-$5.54B	-$3.13B	-$15.8B
Share Repurchases	$5.95B	$2.43B	$5.05B

Data Sources & Notes

Ticker	Form	Filed	Primary Document
JNJ	10-K	2026-02-11	https://www.sec.gov/Archives/edgar/data/200406/000020040626000016/jnj-20251228.htm

Method Notes

- Financial values are sourced from SEC EDGAR filings and normalized into statement-level metrics.
- Comparisons reflect each issuer's latest annual filing period unless otherwise noted.
- Narrative text is descriptive only and does not alter deterministic calculations.

Report date: 2026-03-05. Retrieval date: 2026-03-05.

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